HEDGEYE

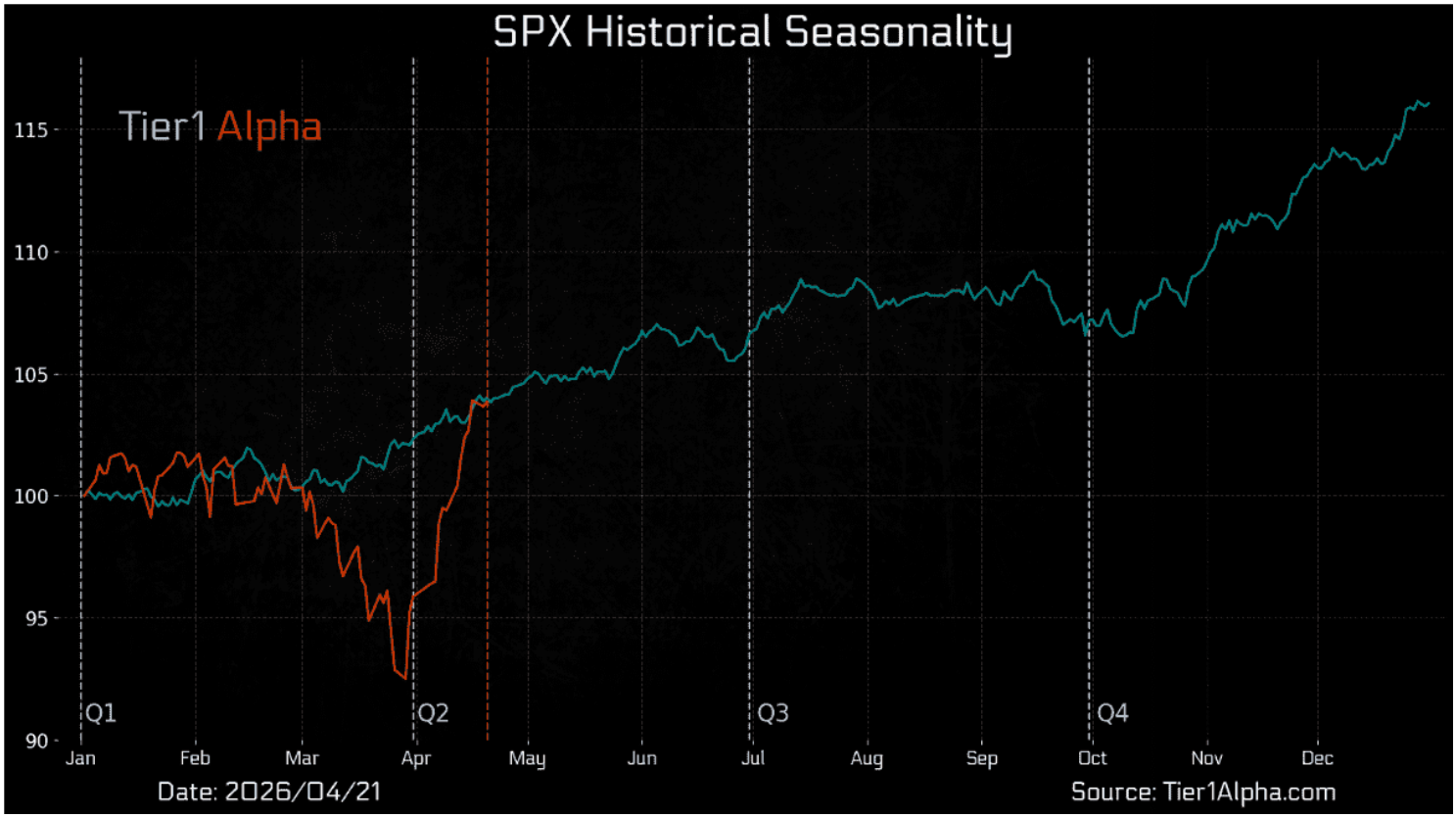
April 22nd, 2026 | "On Again/Off Again"

04/22/26 06:30AM EDT

The research note below was written by Tier 1 Alpha and Presented by Hedgeye®.

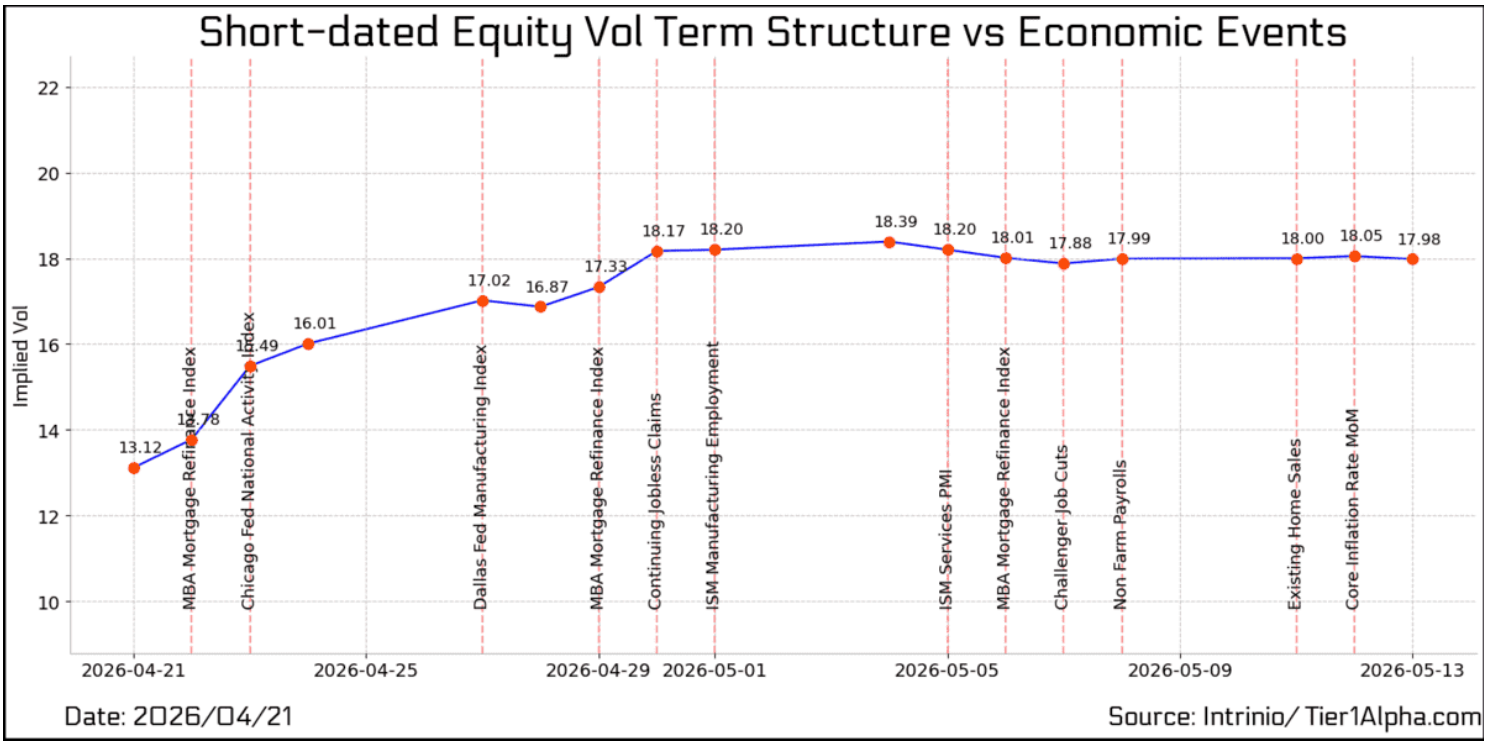
SPX Gamma Exposure:	**Positive**	Neutral	Negative
Systematic Flow Risk:	Bullish	**Neutral**	Bearish
PV Band Risk/Reward:	Long	**Neutral**	Short
Strategic Allocation:	Risk On	Neutral	**Risk Off**

To access the full Market Situation Report -> click here



As we hurtle towards the "Sell in May" truism, markets have reclaimed historical seasonality with nearly flawless grace:

Implied volatility has retreated to low double digits, now sitting almost perfectly in line with realized vol. The downward slope in vol surface is drawing in short vol positions again despite headline risk, adding additional fuel to equity markets.

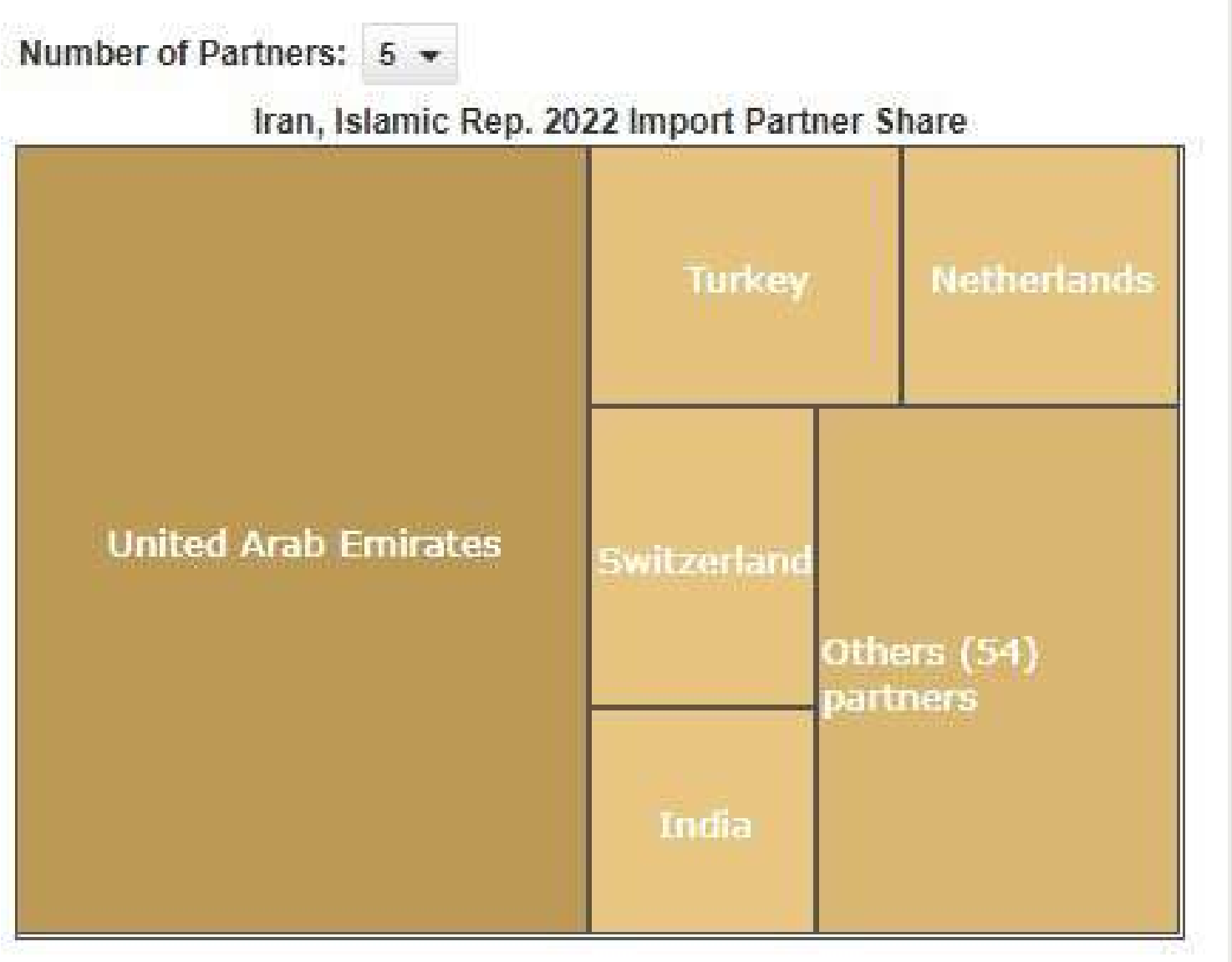


And even the beleaguered Business Development Companies (BDCs), the public-market comp for Private Credit, has rallied as software fears took a back seat after PC redemption periods. This lends strong credence to the hypothesis that they have been the favored private credit hedge vehicle.

<chart4

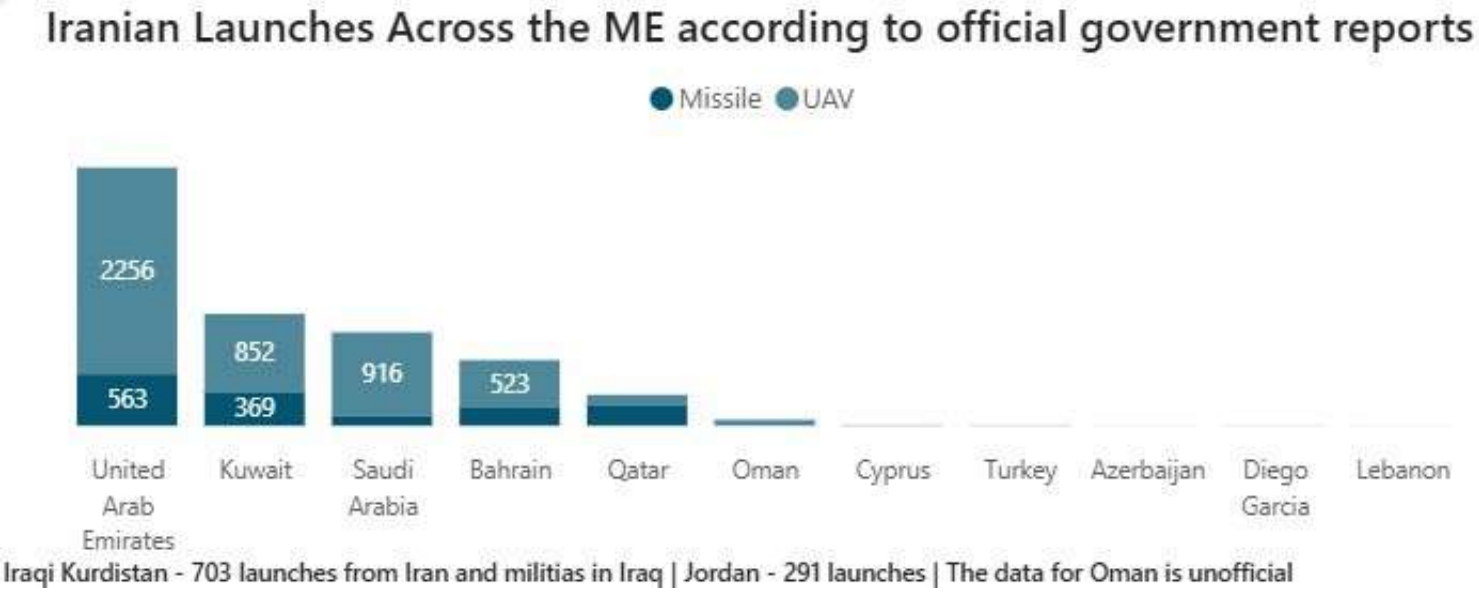
In other words, it's all good in the 'hood. The compression in fear and realized volatility has pushed stocks to all-time highs despite elevated oil prices, distressed consumer sentiment, and an apparently never-ending stream of "On Again/Off Again" military messages. "Peace negotiations" were spurned by the Iranians, even as conflicting messages over the weekend suggest internal disarray in the Iranian regime.

Many commentators seem to believe time is on the Iranian side (although sentiment appears to be shifting with the S&P500 moving higher); the American blockade of the Gulf suggests that is unlikely. Iran imports nearly 50% of basic foodstuffs and their largest trading partner is the UAE:



Which might help explain why they are Iran's most favored ex-Israel target. Biting the hand that feeds you is a time-tested proverb:

All of which is a long-winded way of saying, "We are skeptical of Iran's staying power." A nation of 93 million does not last long when food runs out. This may HELP explain market ebullience, but we'll lean more towards continued inflows from CTAs, now joined by Vol Control strategies. Assuming realized vol remains muted, certainly aided by strong dealer gamma, this flow should accelerate even as CTA flow begins to taper off rapidly.



We won't get market-moving economic data for the remainder of the week, leaving investors bored and unlikely to upset the apple cart ahead of a pick-up in corporate earnings reports. Buybacks have slowed as we enter the blackout period, but despite our risk off posture, we can find little evidence in market structure for an aggressive move lower (other than geopolitical developments spiraling in an unanticipated manner). It's been an interesting few weeks to say the least.

Economic Event Calendar With Short-Dated Options Positioning

Date	Event	Estimate	Previous	Impact	Call IV	Put IV	SPX IV	Expected Move	P/C Vol	P/C OI
2026-04-22	MBA Mortgage Refinance Index	--	966.8	low	26.29	1.26	13.77	+/- 1.01%	1.19	1.76
2026-04-22	MBA Purchase Index	--	159.5	low	26.29	1.26	13.77	+/- 1.01%	1.19	1.76
2026-04-23	Chicago Fed National Activity Index	--	-0.11	medium	25.43	5.54	15.48	+/- 1.4%	2.08	1.73
2026-04-23	Continuing Jobless Claims	1820.0	1818.0	low	25.43	5.54	15.48	+/- 1.4%	2.08	1.73
2026-04-23	Initial Jobless Claims	212.0	207.0	medium	25.43	5.54	15.48	+/- 1.4%	2.08	1.73
2026-04-27	Dallas Fed Manufacturing Index	--	-0.2	medium	24.92	9.1	17.01	+/- 1.99%	1.43	2.55
2026-04-29	Building Permits Prel	--	--	high	24.14	10.51	17.32	+/- 2.4%	1.0	1.22
2026-04-29	Durable Goods Orders MoM	--	-1.4	high	24.14	10.51	17.32	+/- 2.4%	1.0	1.22
2026-04-29	Housing Starts	--	--	high	24.14	10.51	17.32	+/- 2.4%	1.0	1.22
2026-04-29	Fed Interest Rate Decision	3.75	3.75	high	24.14	10.51	17.32	+/- 2.4%	1.0	1.22
2026-04-29	Fed Press Conference	--	--	high	24.14	10.51	17.32	+/- 2.4%	1.0	1.22
2026-04-30	Core PCE Price Index MoM	--	0.4	high	24.56	11.75	18.16	+/- 2.69%	1.58	2.19
2026-04-30	GDP Growth Rate QoQ Adv	--	0.5	high	24.56	11.75	18.16	+/- 2.69%	1.58	2.19
2026-04-30	Personal Income MoM	--	-0.1	high	24.56	11.75	18.16	+/- 2.69%	1.58	2.19
2026-04-30	Personal Spending MoM	--	0.4	high	24.56	11.75	18.16	+/- 2.69%	1.58	2.19
2026-04-30	Chicago PMI	--	52.8	medium	24.56	11.75	18.16	+/- 2.69%	1.58	2.19

-Michael Green

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